

Kumar Audogic Vikas Pvt. Ltd. v. Mukhya Abhiyanta, Varanasi & Another

High Court of Judicature at Allahabad · Division Bench · 27 August 2025 (dismissed for want of prosecution) — order-sheet 14.2.2012 to 27.8.2025 · WRIT - C No. 8303 of 2012 · **Writ petition dismissed for want of prosecution on 27.8.2025 (Manoj Kumar Gupta and Ram Manohar Narayan Mishra, JJ.), the matter having been listed among the 'Oldest Pending Cases ... for Priority Hearing' with none present to press it - no decision on the merits. Earlier, by interim order dated 13.3.2012 (Yatindra Singh and B. Amit Sthalekar, JJ.), the Court had directed that on the petitioner (an auction purchaser refused a fresh connection for the erstwhile owner's electricity dues of Rs.2,30,601) furnishing a bank guarantee for the amount, a fresh connection be granted immediately, the guarantee to be subject to the decision of the writ and the petitioner to pay future dues; the connection was granted. On 4.10.2018 (Amreshwar Pratap Sahi and Harsh Kumar, JJ.), noting that the department had itself sought recovery of the dues from the erstwhile owner (letter dated 22.12.2011 to the District Magistrate, Chandauli), the Court observed that the department would be entitled to receive the amount only if it had not already been realized from the erstwhile owner, and called for a status report; the Clause 4.3 question was never adjudicated.**

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HEADNOTE

Order-sheet, ending in dismissal for want of prosecution, in an auction purchaser's writ challenging the refusal of a fresh electricity connection for the erstwhile owner's dues. The petitioner, Kumar Audogic Vikas Pvt. Ltd., purchased premises in a public auction (the property having been auctioned on 18.11.2011 for arrears of salary of the erstwhile owner's employees; sale deed executed 23.11.2011) said to be free from all encumbrances and dues, and was refused a fresh connection on the ground of electricity dues of Rs.2,30,601 against the previous owner. It contended that the power corporation could realize its arrears only from the erstwhile owner or the sale consideration and could not refuse a connection on that ground; the respondents relied on Clause 4.3 of the U.P. Electricity Supply Code, 2005 (no fresh connection in the same premises against which there are dues). By interim order dated 13.3.2012 (Yatindra Singh and B. Amit Sthalekar, JJ.), the Court directed that on the petitioner furnishing a bank guarantee for the dues (subject to the writ's decision, and with future dues to be paid) a fresh connection be granted immediately; the connection was granted. On 4.10.2018 (Amreshwar Pratap Sahi and Harsh Kumar, JJ.) the Court observed that, the department having sought recovery from the erstwhile owner, it would be entitled to the amount only if it had not already been realized from the erstwhile owner, and sought a status report. The petition was ultimately dismissed for want of prosecution on 27.8.2025, none appearing to press it, leaving the Clause 4.3 question - whether an auction purchaser of premises free from encumbrances can be denied a fresh connection for the previous owner's dues - undecided.

FACTUAL SUMMARY

Kumar Audogic Vikas Pvt. Ltd. filed Writ-C No. 8303 of 2012 before the Allahabad High Court against the Mukhya Abhiyanta (Chief Engineer), Varanasi and another. Its case was that the premises in question had been auctioned on 18.11.2011 for arrears of salary of the employees of the erstwhile owner; that the petitioner purchased the property in the public auction, the sale deed being executed on 23.11.2011; that the property was given to the petitioner free from all encumbrances and dues; that the power corporation could realize its arrears only from the sale consideration or the erstwhile owner, not from the petitioner; and that the power corporation could not refuse a fresh electric connection on the ground of dues (Rs.2,30,601) against the erstwhile owner. By interim order dated 13.3.2012 (Yatindra Singh and B. Amit Sthalekar, JJ.), a counter affidavit having been filed, the Court recorded the petitioner's contentions and directed that in case the petitioner gave a bank guarantee for the dues the respondents would provide the connection immediately, the guarantee being subject to the decision of the writ petition, and the petitioner remaining liable to pay future dues. The respondents' counter affidavit contended that, under Clause 4.3 of the U.P. Electricity Supply Code, 2005, no fresh connection could be granted in the same premises against which there were electricity dues. On 4.10.2018 (Amreshwar Pratap Sahi and Harsh Kumar, JJ.), noting that a fresh connection had by then been granted, and that the department had raised a demand against the previous owner by letter dated 22.12.2011 requesting the District Magistrate, Chandauli to recover the dues, the Court observed that there was nothing on record to show whether the amount had been recovered from the erstwhile owner, that this information was necessary since the department would be entitled to receive the amount only if it had not already been realized from the erstwhile owner, and directed the respondents' counsel to obtain instructions on the status of any such recovery. After further adjournments, on 27.8.2025 (Manoj Kumar Gupta and Ram Manohar Narayan Mishra, JJ.) the case, listed among the oldest pending cases for priority hearing with none present to press it, was dismissed for want of prosecution.

REUSABLE CONSTRUCTIONS

1. Where an auction purchaser acquires premises 'free from all encumbrances and dues', its contention that the licensee cannot refuse a fresh connection for the erstwhile owner's electricity dues - recoverable only from the erstwhile owner or the sale consideration - raises a triable question under Clause 4.3 of the U.P. Electricity Supply Code, 2005; as interim relief the connection may be granted on the purchaser furnishing a bank guarantee for the disputed dues, subject to the decision of the writ and payment of future dues. **order of 13.3.2012**
2. Even where the licensee invokes Clause 4.3 to withhold a fresh connection for a predecessor's dues, it is entitled to receive the amount only if it has not already been realized from the erstwhile owner (against whom it had itself initiated recovery); double recovery of the same dues is impermissible, and the status of recovery from the erstwhile owner is a necessary fact. **order of 4.10.2018**
3. A writ dismissed for want of prosecution decides nothing on the merits; the interim arrangement (here a bank guarantee securing the disputed arrears, expressly subject to the writ's decision) and the underlying Clause 4.3 question are left to be worked out on the terms of that security. **order of 27.8.2025**

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3

OBITER

Fresh connection to an auction purchaser (premises bought free from all encumbrances) withheld for the erstwhile owner's dues under Clause 4.3; interim connection on a bank guarantee subject to the writ; merits left undecided (dismissed for want of prosecution), with an observation barring double recovery

QUESTION

Can a fresh electricity connection be refused, under Clause 4.3 of the Supply Code, to an auction purchaser of premises bought free from all encumbrances on the ground of electricity dues against the erstwhile owner, and what interim relief should issue?

HOLDING

The Clause 4.3 question was not decided; the writ was dismissed for want of prosecution. The petitioner, an auction purchaser claiming the premises free from all encumbrances, was refused a fresh connection for the erstwhile owner's dues of Rs.2,30,601, the respondents relying on Clause 4.3 (no fresh connection in the same premises against which there are dues). By interim order dated 13.3.2012 the Court directed that on the petitioner furnishing a bank guarantee for the dues (subject to the writ's decision, future dues to be paid) a fresh connection be granted immediately, and it was granted. On 4.10.2018 the Court observed that, the department having sought recovery of the dues from the erstwhile owner (letter dated 22.12.2011 to the District Magistrate, Chandauli), it would be entitled to receive the amount only if it had not already been realized from the erstwhile owner, and called for a status report. The petition was ultimately dismissed for want of prosecution on 27.8.2025, none appearing to press it, and the merits of the Clause 4.3 refusal were never adjudicated. **order of 13.3.2012; order of 4.10.2018; order of 27.8.2025**

EVIDENCE *"The power Corporation cannot refuse to grant electric connection on the ground that there are electric dues against the erstwhile owner."* **order of 13.3.2012**

EVIDENCE *"in view of the provisions under the U.P. Electricity Supply Code, 2005 viz., Clause 4.3, no fresh connection can be granted in the same premises against which there are electricity dues."* **order of 4.10.2018**

EVIDENCE *"In case, the petitioner gives a bank guarantee for the same, the respondents will provide electricity connection to the petitioner immediately . The bank guarantee will be subject to the decision of the writ petition."* **order of 13.3.2012**

EVIDENCE *"the electricity department would be entitled to receive the amount only when it has not been already realized from the erstwhile owner."* **order of 4.10.2018**

EVIDENCE *"Dismissed for want of prosecution."* **order of 27.8.2025**

FLAG Order-sheet of 11 pages, dated orders from 14.2.2012 to 27.8.2025 across several Division Benches, no printed page numbers; pins are order dates. Interim relief: order of 13.3.2012 (Yatindra Singh and B. Amit Sthalekar, JJ.); merits observation (double recovery) and call for status report: order of 4.10.2018 (Amreshwar Pratap Sahi and Harsh Kumar, JJ.); dismissal for want of prosecution: order of 27.8.2025 (Manoj Kumar Gupta and Ram Manohar Narayan Mishra, JJ.). Respondent no.1 titled 'Mukhya Abhiyanta' (Chief Engineer), Varanasi.

fresh-connection-to-auction-purchaser-free-from-encumbrances The petitioner, having bought the premises in a public auction free from all encumbrances, contended it could not be denied a fresh connection for the erstwhile owner's dues; the Court granted an interim connection on a bank guarantee but never decided the Clause 4.3 question (dismissed for want of prosecution). [order of 13.3.2012](#)

interim-connection-on-bank-guarantee-for-disputed-arrears Interim relief took the form of a fresh connection granted on the petitioner furnishing a bank guarantee for the disputed arrears, expressly subject to the decision of the writ, with future dues to be paid. [order of 13.3.2012](#)

no-double-recovery-of-arrears-already-realized-from-erstwhile-owner The Court observed that, the department having sought recovery from the erstwhile owner, it could receive the amount from the purchaser only if it had not already been realized from the erstwhile owner, and required a status report - guarding against double recovery. [order of 4.10.2018](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER, UNDER CLAUSE 4.3 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005, A FRESH CONNECTION COULD BE REFUSED TO THE AUCTION PURCHASER OF PREMISES BOUGHT FREE FROM ALL ENCUMBRANCES ON ACCOUNT OF THE ERSTWHILE OWNER'S ELECTRICITY DUES

Not decided. The Court granted only interim relief and observed on double recovery; the writ was dismissed for want of prosecution on 27.8.2025 without adjudicating the Clause 4.3 refusal. [order of 27.8.2025](#)

NOT DECIDED — WHETHER THE ELECTRICITY DUES HAD ALREADY BEEN RECOVERED FROM THE ERSTWHILE OWNER (SO THAT THEY COULD NOT ALSO BE RECOVERED FROM THE PETITIONER)

Not decided; the Court called for a status report on recovery from the erstwhile owner (letter dated 22.12.2011 to the DM, Chandauli), but the point was left open on the writ being dismissed. [order of 4.10.2018](#)

RELATED CASES — SEE ALSO

SCJ-268 — Holds that electricity arrears are not a charge on the premises and a transferee is liable only under the statutory rules - the petitioner's core contention that dues against the erstwhile owner cannot be visited on the auction purchaser.

SCJ-271 — The contrary line: an auction purchaser is liable for the predecessor's dues where the auction is 'as is where is' / the auction clause covers dues (Isha Marbles distinguishable) - the outcome here would turn on whether, as the petitioner claimed, the sale was free from all encumbrances.

SCJ-1077 — New connection withheld for a predecessor's old dues under Clause 4.3 - the same fresh-connection-refused-for-prior-dues question raised here.

SCJ-005 — Applies the Clause 4.3(f) rule that arrears run with the premises - the general rule the respondents invoked against the auction purchaser.

SCJ-127 — On arrears following the premises not the person in the fresh-connection versus transfer context - directly cognate to the auction purchaser's fresh-connection claim here.